

ECONOMY — Indices, Reports, Institutions & Noteworthy Facts

Batch 9/10 · Parmar Ch.11 (full) + Lucent §16 (full) + PYQ bucket "15 Important Indices" (95 Qs) · ★=PYQ-tested · [B]=PYQ-book-only

1 Financial & Development Indices — Reference Table

Index	Publisher / Key Facts
Financial Inclusion Index(FI-Index) ★	RBI, annual(July); 3 params: Access(35%),Usage(45%),Quality(20%); score0-100; introduced August2021 ★
Fiscal Health Index(FHI) ★	NITI Aayog; data source=CAG; indicators=expenditure quality/revenue mobilization/fiscal prudence/debt index/sustainability; FHI2025(FY2022-23 data)=5 sub-indices, covers18 major states ★
Gender Inequality Index(GII)	UNDP; 3 dimensions: reproductive health(Maternal Mortality+Adolescent Fertility), empowerment(Parliamentary Rep+Education), labour market; LOWER=better
Multidimensional Vulnerability Index(MVI) ★	UN General Assembly, Aug2024; economic/social/environmental Vulnerability+Resilience → ensures financial assistance/concessional loans for vulnerable states(esp. Small Island Developing States)
India Innovation Index ★	NITI Aayog + Institute for Competitiveness; pillars="Enablers"+"Performance"; promotes competitive federalism
Environmental Performance Index(EPI) ★	Yale+Columbia University, WEF partner; biennial; 180 countries/58 indicators/11 categories; 2024: India176th(from180th-2022, coal dependency/high emissions)
Corruption Perception Index(CPI) ★	Transparency International(since1995); annual; scale0(corrupt)-100(clean); low score=bribery/lack of transparency
World Competitiveness Index/Ranking ★	IMD(Switzerland, "World Competitiveness Center"), annual since1989; 4 factors: economic performance/govt efficiency/business efficiency/infrastructure; 2025: India41st/69, Switzerland1st
World Press Freedom Index	Reporters Without Borders(RSF), annual
School Education Quality Index(SEQI)	NITI Aayog, first released Sept2019
Export Preparedness Index(EPI) ★	NITI Aayog, launched Aug2020; 4 pillars: Policy/Business Ecosystem/Export Ecosystem/Export Performance; top performers(initial): Gujarat/Maharashtra/TN
World Happiness Report ★	UN SDSN(since2012)+Gallup World Poll; income/health/freedom/social support

2 Major Economic Reports & WTO Framework

- MoSPI reports: PLFS(Periodic Labour Force Survey) by NSO; Monthly Infrastructure Performance Review | RBI reports: Financial Stability Report; Handbook of Statistics on Indian Economy | Global Gender Gap Report → WEF
- WTO → global org regulating international trade, rules-based trade among nations
- GATT → signed 1947; reduced tariffs/trade barriers; replaced by WTO in 1995
- GATS(General Agreement on Trade in Services) → extends trade rules to services; 4 modes: cross-border supply, consumption abroad, commercial presence, movement of natural persons
- AoA(Agreement on Agriculture) → effective 1995(WTO); objective=reduce trade-distorting agri subsidies
- 3 Subsidy Boxes: **Green**(don't disrupt trade, no limitations), **Blue**(limit production, no limitations), **Amber**(disrupt trade, De Minimis Limit applicable)

- Trade Protection: Anti-dumping duty(imports priced below normal value); Countervailing duty(offsets export subsidies)

3 Government Initiatives, Institutions & Committees

- Initiatives: Startup India(2016,DPIIT); Mission Antyodaya(Budget2017-18); PAT scheme(2012,Bureau of Energy Efficiency); Make in India(25Sept2014); POSHAN Abhiyaan(8Mar2018); SEIS(2015-2020)
- Infrastructure: National Infrastructure Pipeline(2020); Sagarmala(2015); Bharatmala Pariyojana(2017); National Technical Textiles Mission(2020,Ministry of Textiles, ₹1480cr till2025-26)
- TReDS(Trade Receivables Discounting System) → MSMEs discount invoices/access quick liquidity
- Financial/regulatory bodies: IFC(Industrial Finance Corp) est.1July1948; Clearing Corp of India Ltd est.April2001; TRAI est.20Feb1997; NSE est.1992(ops1994); PFRDA est.2003; FIPB est.1991,abolished 24May2017(FDI approvals now via Foreign Investment Facilitation Portal,DPIIT); RERA enacted 2016
- PPP(def) → long-term govt-private contract to deliver public assets/services, sharing risks(eg Eastern Peripheral Expressway/Delhi-Meerut Expressway/Chenani-Nashri Tunnel); Greenfield=new infra on unused land, Brownfield=upgrading existing infra

HOOK Economic Committees: Raja Chelliah Committee(central taxation reforms) → Kelkar Committee(2002-03, direct-tax simplification) → Kelkar Committee(2015, PPP framework reforms) → R.N.Malhotra Committee(1993, insurance-sector reforms) → Deepak Parekh Committee(2008, affordable housing).

4 Noteworthy Facts (Lucent §16)

- India=1st in milk production globally(highest-producing STATE=**Uttar Pradesh**) — subject to change per printed footnote
- India=2nd-largest producer&exporter of Tobacco(after China&Brazil respectively, per ICAR); 2nd-largest producer of fruits&vegetables(2nd AE2022-23); **1st** in pulses production(as on 20Feb2024)
- Maharashtra = 1st state to accord "Industry" status to agriculture(1997); Central Agmark Laboratory → Nagpur
- First Cotton Industry of India → Fort Gloster(near Kolkata), 1818; 2nd by Kavas Jee Nana Bhai Daber in Mumbai(1854), named Bombay Spinning&Weaving Company
- Established during 1st FYP: Sindri Fertilizer Factory, Chittaranjan Locomotives, Indian Telephone Industry, Integral Coach Factory, Penicillin Factory(printed "Penciline")

5 Key Definitions (Lucent §16)

- Rules of Origin(WTO) → criteria to determine a product's national source; used for anti-dumping/safeguard measures, MFN-vs-preferential treatment, trade statistics, labelling/marketing, govt procurement
- Forex reserves(per ET) → foreign-currency assets held by central banks: foreign marketable securities+monetary gold+SDRs+reserve position in IMF; purpose=international payments+exchange-rate-risk hedge
- Infant Mortality Rate(WHO) → probability of a child dying before age1 in a given period(that period's age-specific mortality rates); expressed per1000 live births
- Human Capital Formation(World Bank) → knowledge/skills/health people invest in&accumulate to realize productive potential; investment in human capital produces more human capital
- PLI(Production Linked Incentive) → incentives to domestic industries to boost local production
- Narrow Money(M1) = currency in circulation + demand deposits | Broad Money = M1 + time deposits
- High Powered Money = currency in circulation w/ public + banks' cash reserves(monetary base; CRR=fraction of it, set by central bank)
- Gross Primary Deficit = Gross Fiscal Deficit – interest payments | Net Primary Deficit = Net Fiscal Deficit – net interest payments(interest paid–interest receipt)
- Fiscal Deficit(def) = total revenue – total expenditure of govt; indicates total borrowings needed; borrowings NOT included in total revenue

6 Global Peace, Gender Gap & Happiness — PYQ Deep-Dive

HOOK Global Peace Index(GPI) ★, published by **Institute for Economics and Peace(IEP, Sydney-based)**: "Positive Peace" = institutions/attitudes/structures sustaining a peaceful society(NOT just absence of violence) — identifies structural factors promoting peace, can forecast peacefulness declines; high-positive-peace countries=more economically stable. GPI2024 trend since2008 ★ = mixed: "Ongoing Conflict&Societal Safety/Security" deteriorated, "Militarisation" improved. GPI2025(19th edition) ★: global peace declined **0.36%**(gradual decline — militarisation/internal conflict/geopolitical tensions); **Iceland**=most peaceful continuously since2008(incl.2025); India ranked **115th**(improved from116th).

- Global Gender Gap Report(WEF) ★ → 4 key areas: political empowerment, economic participation&opportunity, educational attainment, health&survival; GGGR2025: **Northern America** leads in closing gender gap; 'Economic Participation&Opportunity' dimension covers women's company-board/senior-role representation ★
- World Happiness Report ★ → UN SDSN(since2012, 1st report 1Apr2012)+Gallup World Poll; 6 factors: GDP per capita, social support, healthy life expectancy, freedom to make life choices, generosity, perception of corruption; primary dependent variable="**life satisfaction**"(Cantril Ladder,0-10); annual, usually 20 March(Int'l Day of Happiness); WHR2025: India=**118th/147**(improved from126th); Finland=top for consecutive yrs; Taiwan=happiest in Asia(2025)

TRAP A-R pairs ★: (1) India's Happiness/GHI rank lower than most South Asian neighbours(TRUE, incl Nepal/Bhutan/SriLanka) — but NOT because India's GDP per capita is lowest in South Asia(Reason FALSE, Afghanistan's is lower). (2) Happiness Index includes political freedom&social support(TRUE) — but published by UN-SDSN NOT UNDP(Reason FALSE). NOT-included Happiness-Index factors ★: sports performance, internet speed, currency value, tax collection rate, population-growth monitoring.

Happiness Index promotes citizen-centric governance approach ★(mental well-being/health/social security focus, not just GDP).

7 Economic Freedom, EoDB & Competitiveness — PYQ Deep-Dive

- Index of Economic Freedom ★ → published annually since1995 by **The Heritage Foundation**(Washington DC); measures trade/investment/property-rights freedom; **12 indicators across 4 pillars**: Rule of Law, Size of Government(spending/taxation/SOE extent), Regulatory Efficiency, Open Markets ★; India ranked**128th**(2025), "mostly unfree" category; top=Singapore/Switzerland/Ireland
- EoDB(World Bank) ★ → discontinued **September2021**(data-manipulation allegations, 2018&2020 reports); replaced by '**B-READY**'(Business Ready) framework; assessed190 countries' regulatory environment; excludes military spending AND informal sectors(A-R: both TRUE, R correctly explains A); high EoDB score=easy to start business/business-friendly regulation

8 Energy, Climate & Environment Indices — PYQ Deep-Dive

- Energy Transition Index(ETI) ★ → released by **WEF**; assesses energy-system performance+readiness for secure/sustainable energy; 3 dimensions: energy security, environmental sustainability, energy equity ★; 2025 key priority=modernizing/digitalizing power grids+storage(renewables integration) ★; adaptive/stable policy frameworks=crucial for long-term investment ★
- Climate Change Performance Index(CCPI) ★ → jointly published by **Germanwatch+NewClimate Institute+Climate Action Network International**; assesses GHG emissions/renewable energy/energy use/climate policy ★; CCPI2025: India ranked**10th**; top3 positions vacant(none "very high"); Denmark=4th

9 Trade, Logistics & City Indices — PYQ Deep-Dive

- Logistics Performance Index(LPI) ★ → published by **World Bank, every 2 years**; 6 dimensions: customs, infrastructure, shipment arrangements, logistics services, tracking, timeliness ★; LPI2023(7th edition) ★ → incorporated '**Big Data**' for first time(trade speed/supply-chain efficiency via actual ship/air-cargo/postal tracking)

- Global Cities Index2025(Oxford Economics) ★ → evaluates1000 major cities on5 criteria(Economy/Human Capital/Quality of Life/Environment/Governance); **New York=1st, London=2nd**(both retained)
- Global Firepower Military Strength Ranking2025 ★ → factors=manpower/weaponry/defense budget/technology/geographical location; India=**4th** position

10 HDI & MPI — PYQ Deep-Dive

HOOK HDI ★ → released by UNDP, first introduced **1990**(economists Mahbub-ul-Haq+Amartya Sen); 3 dimensions: health(life expectancy at birth), education(mean years of schooling+expected years of schooling), standard of living(per-capita GNI) ★. Expected Years of Schooling = years a school-entry-age child is expected to spend in school given current enrolment patterns ★. Mean Years of Schooling = avg yrs of schooling for adults ≥25yrs ★. Main limitation ★ = fails to capture social inequality/unequal income distribution(reflects only national averages). "Capability approach" criticism ★ = intangible capabilities(freedom/self-respect/life-choices) hard to measure → HDI stays limited to health/education/income.

- A-R ★: HDI can ↑ even if income drops(TRUE) — improvements in life expectancy&education can offset income decline, since HDI=average of 3 dimensions(Reason TRUE, correct explanation)
- A-R ★: high-HDI country may still have high multidimensional poverty(TRUE) — HDI is an average, doesn't capture intra-country inequality(Reason TRUE, correct explanation)
- A-R ★: India's HDI improved post-2010(TRUE) — Reason: methodology revised to include Inequality-adjusted HDI(IHDI) in 2010(TRUE, but NOT the correct explanation — actual improvement driven by domestic development/social-welfare schemes, not the methodology revision)
- Statement check ★: HDI is NOT based on life expectancy+standard of living ONLY(also includes education, statement1 INCORRECT); life expectancy at birth IS used(statement2 CORRECT); MPI does NOT measure health+education ONLY(also standard of living, statement3 INCORRECT); child mortality+nutrition ARE MPI health indicators(statement4 CORRECT) → only statements 2&4 correct
- "Human Development Ethics" critique ★: development shouldn't be limited to quantitative data alone, should incorporate cultural diversity+ethical values — challenges HDI's implicit universal/Western-values assumption

11 India-Specific NITI Aayog Indices — PYQ Deep-Dive

Index	Key Facts ★
Financial Inclusion Index(RBI)	introduced Aug2021; risen to67(by March2025 per one PYQ) — rural banking access+UPI driving growth
Global Findex2025(World Bank)	India's account ownership 35%(2011)→89%(2024-25); credit=PMJDY+digital banking
Global Innovation Index2024(WIPO,133 countries)	India ranked 39th
Henley Passport Index2025	India ranked 77th(Henley&Partners); visa-free/on-arrival access to59 countries; based on IATA data
District Hospital Index(NITI Aayog+Health Ministry)	10 Key Performance Indicators(operational capacity/clinical services/service-delivery quality)
SDG India Index(NITI Aayog)	world's FIRST govt-led sub-national SDG-progress measure; tracks 17 SDGs; categories: Aspirant/Performer/Front Runner/Achiever
State Mining Readiness Index(Ministry of Mines)	4 indicators(auction performance/early operationalization/exploration/sustainable mining), non-coal minerals
National Infrastructure Readiness Index(NIRI, NITI Aayog)	released Sept2024; infra capacity(logistics/connectivity/digital), competitive federalism
State Health Index(NITI Aayog+Health Ministry+World Bank)	health outcomes+incremental performance("cooperative&competitive federalism")

Management Effectiveness Evaluation(MEE) of protected areas 2020-2025 ★: **Kerala** topped(Periyar Tiger Reserve/Silent Valley, Western Ghats conservation). Multidimensional Vulnerability Index(MVI) ★: developed/published by **United Nations**.

12 Publisher Matching & Miscellaneous — PYQ Deep-Dive

- Publisher matches ★: Global Innovation Index=**WIPO**; Global Hunger Index=**Concern Worldwide+Welthungerhilfe**; Global Peace Index=**IEP(Sydney)**; Human Development Index=**UNDP**
- UN Sustainable Development Report2024 ★ → tracks 17 SDGs(169 targets, adopted2015 under 2030 Agenda) — only 16-17% of targets on track by2024(slow/reversed: COVID-19/climate change/global conflicts)
- Corruption Perception Index2024 ★ → published by Transparency International(since1995); scale0-100; undermines climate action via diverting climate funds+undue influence over environmental policy(NOT weakening financial markets/discouraging protests/fossil-fuel competition — distractors)
- Travel&Tourism Development Index(TTDI)2024(WEF) ★ → 26/30 top scorers=high-income economies(19 Europe+7 Asia-Pacific)
- AQI vs Air Quality ★ → Air quality=actual scientific measurement of air's physical/chemical state; AQI=simplified numerical index for public awareness/health-risk communication(NOT identical concepts)